

Overview: Refined Products

What are Refined Products?

[Refined products](#) are usable fuels, chemicals, and materials that are created by **processing raw crude oil**. Through **industrial refining methods**, such as distillation and cracking, crude oil can be transformed into refined products. The **three tiers** of refined products are:

- Light products (high volatility): gasoline, liquefied petroleum gas, and naphtha
- Medium products: diesel fuel, jet fuel, and heating oil
- Heavy products and residue (low volatility): fuel oil, lubricating oils, and asphalt

Refined Products' Importance to the Global Economy

Refined products are **essential to the global economy** because of the various sectors and industries that they fuel. They power global transportation, generate electricity, and are essential for feedstocks that are used to manufacture several everyday products.

The [United States' refiners](#) specifically play a critical role in maintaining a balance between supply and demand during geopolitical conflict. Because of their efficiency, American refineries can deliver fuel to homes and abroad, helping maintain a **balanced global energy market**.

Macquarie's Role in Helping Clients with Refined Products

Macquarie's **Commodities and Global Markets** sector is designed to help clients navigate commodity markets. CGM has specific capabilities to help its clients:

- Physical Logistics & Storage: facilitates the physical supply and offtake of the products
 - Storage terminals (e.g. in the ARA hub or US Gulf Coast) and arranges delivery
- Risk Management & Hedging: ensures the refiner's profit is protected from price swings
 - Provides crack spread contracts for refiners to lock in fixed prices against margins
- Capital and Financing: turns a client's physical inventory into cash
 - Macquarie has financed energy infrastructure operations (as with its 49% stake in Diamond Infrastructure Solutions)